

Revenue Cloud

Invoice Management

Enablement Exercises

Version 1.0, Winter '26



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Salesforce Feature Name
Winter '26

Release Overview



Legal Entity Based Invoice Grouping

Business Objective

Enable businesses operating with multiple legal entities to generate invoices that are correctly grouped and sequenced by legal entities. This ensures that each invoice clearly represents the responsible legal entity for tax, accounting, and regulatory compliance purposes, while simplifying financial reporting and reconciliation.

By including Legal Entity as a default invoice grouping criterion (along with Account, Bill To Contact, Payment Terms, Currency, and Tax Engine), businesses gain:

- Accuracy in tax jurisdiction assignment.
- Improved regulatory adherence.
- Streamlined accounting operations through consolidated and compliant invoice generation.

Use Cases

- When a billing schedule generates an invoice, the legal entity is automatically stamped on the invoice, and all invoice lines are grouped by the same legal entity.
- If a customer purchases products/services from multiple legal entities within the same parent account, the system generates separate invoices per legal entity to avoid cross-entity mixing.
- During period-end close, accountants can reconcile revenue more easily because invoices are already grouped by legal entity, reducing manual reclassification.
- For cross-border operations, invoices reflect the correct legal entity, ensuring the right tax jurisdiction and engine are applied automatically.

Design Time Configuration

No Design Time Needed. The default invoice grouping for all billing schedules has been updated to include Legal Entity along with existing criteria(Account, Bill To Contact, Payment Terms, Currency, Tax Engine)

Billing Profile Enhancements



Business Objective

Enhance the billing profile to support more complex billing needs as businesses scale, by allowing organizations to capture and manage customer billing preferences at the account level. This ensures billing operations are more flexible, customer-centric, and automated while reducing manual intervention.

The enhancement enables:

- Selection of a default payment method for all transactions.
- Control over whether automatic payments should be applied.
- Specification of preferred invoice delivery method and templates.
- Ability to associate a billing account (profile) with a customer account.

This improves efficiency for billing operations teams and creates a consistent, accurate billing experience for customers.

Use Cases

- As a Billing Ops User, I can associate a billing account (profile) with a customer account, ensuring transactions are processed using the correct preferences.
- As a Billing Ops User, I can set a default saved payment method on the billing account so that all transactions use it automatically unless overridden.
- As a Billing Ops User, I can enable a Skip Automatic Payment flag when customers prefer to pay manually, ensuring no unintended charges occur.
- As a Billing Ops User, I can specify the invoice delivery method (e.g., email, portal, print) so invoices are delivered as per the customer's preference.
- As a Billing Ops User, I can choose a default invoice template so that the correct format and branding are consistently applied for that account.

Design Time Configuration

Ramp Deal for Groups

Business Objective

The primary goal of the **Ramp Deal for Group** feature is to fundamentally simplify the management of complex, multi-year deals. It allows sales reps to structure a ramped transaction using time-based segments and assetizes the entire deal into a **single asset**. This consolidated asset tracks all variations in quantity, configuration, and pricing across its lifecycle, streamlining asset management and providing a unified view of the customer's commitment.



The key objectives are to:

- Enable the creation of a single, consolidated asset for an entire ramped quote, simplifying asset lifecycle management.
- Support the ramping of complex products, including Bundles and Usage-based items, within a single, coherent structure.
- Allow for segment-specific configurations, enabling changes to bundle components, product attributes, and quantities from one period to the next.
- Drastically simplify downstream processes like amendments, renewals, and cancellations by operating on one single master asset.

Use Cases

- **Structure a Multi-Year Deal:** As a Sales Rep, I need to create a 3-year deal for a customer who is increasing licenses each year. I can create a Group Ramp with three segments (e.g., Year 1, Year 2, Year 3), set the specific quantity and discount for each year, and the system will generate one single asset representing the entire 3-year term.
- **Ramp a Configurable Bundle:** As a Sales Rep, I'm selling a solution bundle where the customer wants to add a "Premium Support" package starting in Year 2. I can configure the bundle for the first segment, then clone it and modify the configuration for the second segment to include the new support package. These changes are all tracked within the same consolidated asset.
- **Amend a Ramped Deal Mid-Term:** As a Sales Rep, my customer, who is halfway through Year 2 of their 4-year ramp deal, needs to increase their license count. I can initiate an amendment on their single ramped asset. The system will present the past segments as read-only and allow me to easily update the quantities for the current and all future segments.
- Ensure **Billing Schedule Groups (BSGs)** are generated correctly – single for standalone ramps or related BSGs for bundles.

Design Time Configuration

No Design Time Needed. Supported OOTB.



Asset Transfer Support

Business Objective

Enable businesses to seamlessly transfer assets between accounts in the billing system to support scenarios such as mergers, reorganizations, ownership changes, or subscription migrations. The objective is to ensure billing continuity, maintain historical accuracy, and provide transparent reporting without service disruption.

By treating asset transfer as an amendment, the system:

- Automatically cancels the billing schedule on the original account.
- Creates a new billing schedule on the destination account.



This ensures smooth transitions, accurate billing alignment with the rightful customer, and operational efficiency for billing teams.

Use Cases

- As a **Billing Ops User**, I can initiate an asset transfer from one customer account to another so billing continues with the new account seamlessly. For this click on Transfer from the Managed Asset Viewer and that will generate 2 Quotes. Follow through, generate the orders and activate them.
- As a **Billing Ops User**, I can handle asset transfers during **corporate mergers or acquisitions**, ensuring the correct legal entity/account is billed moving forward.
- As a **Billing Ops User**, I can transfer assets between **departments or business units** within the same organization to reflect organizational changes without disrupting billing.
- As a **Billing Ops User**, I can transfer subscription assets when a **customer's ownership changes**, ensuring the new owner is billed for ongoing services.

Design Time Configuration

No Design Time or Run Time Needed. This is supported out of the box when an Asset Transfer is initiated from Assets.

Co-Terminous Contract Support

Business Objective

Enable businesses to align new products or services purchased mid-contract with the existing contract's end date (co-termination). This ensures customers have a unified billing cycle, consolidated invoices, and a simplified renewal process, reducing administrative overhead and improving customer satisfaction.

By supporting coterminous contracts, the billing system:

- Automatically adjusts subscription end dates to match the contract end date.
- Reduces complexity in managing multiple subscription timelines.
- Provides a consistent invoicing and renewal experience.
- Supports advanced amendments without requiring manual intervention.



Use Case

- When a **Sales Rep** creates a new subscription or add-on under an existing contract with *Contract Co-Termination = TRUE*, the system aligns the new subscription line items end date with the existing contract end date.
- When a **Customer** adds mid-term products or services, all subscriptions under the same contract share a single end date, simplifying renewal.
- When a **Billing System** receives the subscription dates from upstream (Quote/Order), it automatically creates the **Billing Schedule Group (BSG)** honoring the co-terminated end date.
- When **Amendments** (upsells, add-ons, product changes) are processed, the system ensures they inherit the contract's co-terminated end date without manual adjustments.
- When **Finance/Accounting teams** review billing and revenue schedules, they see all subscriptions under a contract aligned to the same end date, simplifying reconciliation and forecasting.

Design Time Configuration

No Design Time and Run Time needed.

Pull-in/Push-Out Support

Business Objective

Enable businesses to handle changes in service start dates by supporting **Pull-in (early start)** and **Pushout (delayed start)** scenarios. This flexibility ensures billing accurately reflects when services are consumed, improving customer experience and maintaining revenue integrity.

The billing system automatically adjusts the **Billing Schedule Group (BSG)** and **Billing Schedules (BS)** based on upstream orders, with no manual setup required in billing. This reduces operational effort, supports advanced amendments, and ensures accurate, timely invoicing.

Use Case

Pull-in Scenario (Start Early):

- As a **Sales Rep**, when a customer requests to move their service start date earlier, I create a pull-in amendment upstream.



- As a **Billing Ops User**, I can see that billing has shifted to the earlier start date without needing to make manual corrections.

Pushout Scenario (Delay Start):

- As a **Sales Rep**, when a customer delays deployment, I create a pushout amendment upstream.
- As a **Billing Ops User**, I can confirm that no premature invoices are generated and billing aligns with the revised service timeline.

Amendments Management:

- As a **Billing Ops User**, I can rely on the billing system to automatically handle pull-in and pushout amendments without needing special configuration or manual intervention.

Finance / Accounting Alignment:

- As a **Finance Team Member**, I can trust that revenue schedules reflect the updated service dates, ensuring accurate recognition and reporting.

Design Time Configuration

No Design Time and Run Time needed.

CPI Uplift Support

Business Objective

Enable businesses to manage renewal pricing that reflects **dynamic economic indicators** (e.g., inflation indexes, cost-of-living adjustments) instead of relying on fixed uplift percentages. This ensures renewal pricing remains fair, transparent, and aligned with contractual agreements while reducing manual intervention.

By supporting inflation-adjusted uplifts:

- Sales can negotiate flexible terms (e.g., *5% + US CPI Inflation*) at contract creation.
- Renewals auto-calculate the uplift based on actual index values at the time of renewal.
- Billing seamlessly applies the uplifted pricing during invoicing, ensuring compliance with contract terms.

This improves customer trust, reduces operational overhead, and ensures accurate revenue realization.



Use Case

- When a renewal is initiated, the system automatically calculates the uplifted price based on the agreed CPI/index terms and applies it to the new billing schedule.
- The CPI-adjusted price is reflected on invoices, ensuring billing aligns with the contractually agreed renewal terms.
- All renewal calculations respect the floating uplift defined at contract creation, eliminating manual updates.
- Revenue and invoice amounts are automatically updated to reflect the latest index value at the time of renewal.
- The system maintains consistency across billing schedules and invoices for inflation-adjusted renewals.

Design Time Configuration

No Design Time and Run Time needed.

Flexible Tax Contract

Business Objective

Enable businesses to extend the existing tax interface by adding and consuming custom fields in the tax contract. This allows organizations to send additional data to their tax calculation provider and capture extra information returned in the response, without waiting for product changes.

By leveraging custom metadata:

- Admins can define which fields from invoices or invoice lines are sent to the tax engine.
- Admins can define which fields from the tax response are captured in Salesforce on the invoice, invoice line, or invoice line tax objects.
- This provides flexibility for tax requirements and supports custom business logic or integrations built by system integrators (SIs).



Use Case

- Include custom fields from invoice or invoice line objects in the request sent to the tax engine.
- Consume additional fields from the tax engine response and store them on invoice, invoice line, or invoice line tax objects.
- Extend the tax contract without requiring product-level changes.
- Allow SIs or internal teams to build custom tax-related functionality based on additional data fields.
- Enable tax admins to configure and maintain the extended tax contract using custom metadata, simplifying maintenance and upgrades.

Design Time Configuration

https://help.salesforce.com/s/articleView?id=ind.billing_custom_metadata_types_configure.htm&type=5

Credit Taxes using the same Tax Rate as Original Invoice Date

Business Objective

Ensure tax compliance and accuracy by applying the same tax rate used on the original invoice when issuing a credit. This prevents discrepancies due to tax rate changes over time and aligns with standard accounting and tax reporting practices.

Use Case

- Use the same tax rate as applied during original invoicing while issuing full or partial credits.
- Ensure tax rate consistency even if the tax rate has changed between the invoice date and credit issuance.



- Support tax audit readiness by maintaining traceable and reversible tax records tied to the original transaction.
- Comply with jurisdictions where tax reversals must match the original tax application.

Design Time Configuration

None

RunTime Experience

1. Create an Order with a subscription product with an Advance type treatment
2. Activate the Order to generate Billing Schedules
3. Generate and post the invoice with a specific invoice date
4. Try amending the Order related to the above invoice - Try cancelling it (probably few days / months passed after the above invoice date) - Activate the Order - Billing Schedules with negative lines would be created
5. Repeat the same steps above for a different subscription product
6. Generate and post the invoice for the above schedules
7. Notice the creation of an invoice with negative lines
 - a. Check the tax request for the negative lines, it would be a credit call with the reference to the original invoice document and the original invoice date as effective date mentioned for each line level

Credit Memo: Create a draft & post

Business Objective

Enable customers to create credit memos in **draft status** to support approval workflows before finalizing credit issuance. This ensures that credits are reviewed and approved internally before being posted, providing flexibility and reducing errors in billing adjustments.

By supporting draft credit memos:

- Credit or billing operations teams can validate and review credit details before posting.
- The system supports approval processes external to the billing engine while maintaining traceability.
- Businesses can manage complex credit scenarios more efficiently, improving customer satisfaction.



Use Case

- Create a credit memo in draft status before posting.
- Send a draft credit memo for approval outside of the billing system.
- Post the credit memo only after approval and final validation.
- Track and manage draft credit memos to ensure proper auditability.
- Allow billing/credit ops teams to adjust or correct credit details before final posting.
- Support flexible credit issuance scenarios to meet complex business needs.

Design Time Configuration

No Design Time Needed.

Configuration

1. From the App Launcher, find and select Credit Memos.
2. Click Create Credit Memo.
3. Enter an account name.
4. Select Draft as the status.
You can create a credit memo in both draft and posted status.
5. Select the credit memo effective date.
6. Choose a tax strategy to define your tax calculation approach.
 - To skip the creation of tax lines, select Ignore.
 - To manually specify a tax amount, select Manual Override.
 - To compute tax lines by using a tax treatment, select Calculate.
7. If your tax strategy is Calculate, select a tax treatment.
8. If needed, provide a description for the credit memo.
9. Select the ID of the product that is creating the credit memo for. If the product isn't in your Salesforce org, enter the product name.
Either a product ID or product name is required to create a credit memo.
10. Enter the credit amount.
11. If your tax strategy is Manual Override, enter a manual override tax amount.
12. Select the currency of your credit amount.
13. If needed, enter the billing and shipping address.
14. Click Create.

The credit memo generation is initiated, and you'll receive a notification after the credit memo is generated.

If you create the credit memo in draft status, obtain the necessary approvals and click Post Credit Memo. After the credit memo is posted, apply it to the required invoice.



Credit Memo Apply Flow

Business Objective

Provide an **out-of-the-box (OOTB) solution** for applying available credits to invoices, eliminating the need for custom development. This empowers billing and credit operations teams to efficiently settle invoice balances—fully or partially—using existing credit memos.

By providing a native screen/flow:

- Users can select a credit memo and apply it to one or more invoices.
- Line-level application is supported where org-level preferences require granular credit allocation.
- Reduces operational effort and errors associated with building custom credit application solutions.
- Improves speed and accuracy of credit application, enhancing overall customer satisfaction.

Use Case

- Customers have overpaid or received a credit and want a quick way to settle outstanding invoices without building custom solutions.
- Businesses need the ability to apply credits partially or fully to one or multiple invoices, depending on the customer's payment situation.
- Finance teams want to reduce manual effort and errors associated with custom credit application processes.
- Organizations require the flexibility to apply credits at the invoice line level for precise allocation of funds.
- Improves cash flow management by allowing immediate application of available credits to outstanding balances.
- Supports faster dispute resolution by letting billing/credit ops settle balances efficiently.
- Enhances customer satisfaction by streamlining credit usage and reducing delays in invoice settlement.

Design Time Configuration

No Design Time Needed.



Legal Entity defaulting on billing transactions

Business Objective

Ensure that every billing transaction is accurately associated with a legal entity for accounting purposes. This enables precise reporting to the correct accounting period, simplifies period-end reconciliation, and maintains the integrity of accounts receivable and financial statements.

By defaulting the legal entity:

- Transactions inherit the specified legal entity from input, or default to the organization-level legal entity if none is provided.
- Child entities inherit from parent entities where applicable.
- Transactions without a defined legal entity are excluded from accounting journal entries to prevent errors.

This improves bookkeeping accuracy, reduces manual reconciliation effort, and ensures compliance with accounting standards.

Use Case

- Ensure every billing transaction is associated with the correct legal entity for accounting and reporting purposes.



- Automatically default to the organization-level legal entity when no specific entity is provided, reducing manual entry.
- Inherit legal entity from parent accounts for child entities to maintain consistency across related transactions.
- Exclude transactions without a legal entity from accounting journals to prevent errors in financial statements.
- Reduce effort during accounting period closures by ensuring all transactions are accounted for correctly.
- Improve accuracy in AR reporting and accounting period summaries.
- Support compliance with internal and statutory accounting requirements

Design Time Configuration

Configuration and Runtime Video

https://help.salesforce.com/s/articleView?id=ind.billing_legal_entity_default.htm&type=5

Legal Entity Population Logic on Billing Schedule Group

The legal entity is populated on billing schedule groups in this sequential order.

Scenario	Behavior
Legal entity is selected on related order item.	The system uses the legal entity of the related order item.
Legal entity is selected on the related order.	The system uses the legal entity of the related order.
Legal entity isn't selected.	The system uses the default legal entity of your Salesforce org.

Legal Entity Population Logic on Billing Transactions

The legal entity is populated automatically on billing transaction records in this sequential order.



Scenario	Behavior
Legal entity is selected for the billing transaction during record creation.	The selected legal entity is considered.
Legal entity isn't selected for the billing transaction.	The system uses the legal entity from the parent or a related record.
Legal entity isn't selected for the billing transaction, parent, or related records.	The system uses the default legal entity of your Salesforce org.

This table specifies the parent or related object that the billing transaction derives its legal entity from.

Billing Transactions	Parent/Related Record
Invoice	The record is created with the legal entity of the related Billing Schedule Group record.
Invoice Line	The record is created with the legal entity of the parent Invoice record.
Invoice Line Tax	The record is created with the legal entity of the parent Invoice Line record.
Credit Memo	The record is created with the legal entity of the Invoice record that's linked via the Reference Entity field.
Credit Memo Line	The record is created with the legal entity of the parent Credit Memo record.



Credit Memo Line Tax	The record is created with the legal entity of the parent Credit Memo Line record.
Credit Memo Line Invoice Line	The record is created with the legal entity of the related Invoice Line record.
Payment	None
Payment Line Invoice	The record is created with the legal entity of the related Invoice record.
Payment Line Invoice Line	The record is created with the legal entity of the related Invoice Line record.
Refund	None
Refund Line Payment	The record is created with the legal entity of the related Payment record.
Debit Memo	None
Debit Memo Line	The record is created with the legal entity of the parent Debit Memo record.



Scalability & Reliability

Business Objective

Enhance the billing system to handle **higher volumes of transactions and invoice lines** efficiently and reliably, ensuring that large-scale billing, tax calculation, and invoice operations can be performed without performance degradation or errors.

These enhancements aim to:

- Increase the number of transaction and invoice lines supported by APIs and batch runs.
- Support external integrations and tax vendors for large-scale operations.
- Provide improved reliability, status tracking, and cleanup during batch processing.
- Ensure billing operations can scale to meet the needs of enterprise customers with high transaction volumes.

Use Case

- Process larger billing transaction sets (up to 1000 items per API call) efficiently for high-volume customers.
- Create billing schedules from orders containing up to 1000 order lines, supporting complex subscription portfolios.
- Calculate taxes for up to 2000 invoice lines in a single Invoice Batch Run, reducing the need for multiple runs.
- Support tax calculations via external vendors or custom integrations for organizations with very large transaction volumes.



- Void posted invoices containing up to 2000 lines in a single API call, improving operational efficiency.
- Generate invoices in batch runs with up to 2000 lines, including recovery invoice batch runs, without performance issues.
- Transition invoices from DRAFT to POSTED status for entire batch runs of up to 2000 lines efficiently.
- Monitor and track batch operations with intuitive status and sub-statuses, providing transparency to billing operations teams.
- Automatically cleanup associated RTEs during invoice recovery runs or via recovery API, ensuring accurate and reliable data.
- Support enterprise-scale billing operations without manual intervention or splitting of large jobs.

Design Time Configuration

No Design time or run time needed.

Scalability	• Invoice batch run can support generating invoices with 2000 invoice lines • Recovery Invoice Batch Run also supports 2000 lines • Voiding an Invoice Batch Run also supports invoices upto 2000 lines • DRAFT to POSTED for entire IBR also supported for invoices with 2000 lines
Reliability	• Intuitive Status Tracking - Enhanced IBR with sub-statuses making the process more transparent to the billing operations users while monitoring jobs
	• Cleanup - Delete associated RTEs from an IBR on Invoice Recovery Run or Recovery API

APIs	254	258	258
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The number of billing transaction items that can be processed by the Create Billing Schedules From Billing Transactions API	200	1000	Order to Billing Schedule (Support upto 1000 order lines to be created as billing schedules)
The number of lines supported by Calculate Tax API Interface (Sync) when used with Invoice Batch Run Tax Calculation (POST)	200	2000	Request can have UPTO 2000 lines Max when using the Invoice Batch Run However, the final lines are dependent on Tax Vendors support for external integrations.
The number of lines supported by Posted Invoice Voidance (POST)	200	2000	For integrations managed by the customer / SI, tax lines can be imported / created via API to support larger scale.